KT&G (033780 KS)

Shareholder return premium on top of earnings growth

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BUY (M)

Target price	W280,000 (Up)
Previous target price	W250,000
Current price (Oct 20)	W194,000
Upside potential	44%

Market cap (Wbn)	20,139
Shares outstanding	103,810,456
Avg daily T/O (2M, Wbn)	45
Avg daily volume (2M, shrs)	251,363
52-week high/low (won)	194,000 / 133,700
Foreign ownership (%)	50.91%
Dividend yield (%)	4.22%
Major shareholders	Industrial Bank of Korea

Stock performance

(%)	1M	3M	12M
Absolute	12.8	8.1	39.1
Relative	40.0	26.9	(4.5)
Abs (US$)	17.5	20.4	48.6

3Q26 preview: lower tobacco costs to drive record quarterly earnings

We estimate 3Q26 consolidated sales at W1.9267tn (+5.5% YoY) and OP at W507.6bn (+9.1% YoY, OPM 26.3%), in line with consensus. OPM likely improved by 0.9%p YoY, driving record quarterly earnings. Domestic cigarette sales volume likely declined about 5% due to a high base from demand brought forward ahead of last year's Chuseok holiday, but market share is estimated to have risen to 69%. Overseas cigarette volume likely grew by a mid- to high-single-digit percentage, supported by increased sales in the Middle East and new markets despite a reduction in low-margin SKUs in Asia-Pacific. ASP in won terms is also estimated to have risen about 5%. In particular, tobacco OP likely delivered double-digit growth, as expanded domestic cigarette contract manufacturing (CMO) and lower leaf tobacco costs fed through. Health functional foods likely saw limited profit growth as marketing expenses offset higher sales from Chuseok promotions, while real estate earnings likely increased on profit recognition from the Mia development project.

Overseas tobacco earnings growth and higher dividends

We maintain BUY and raise our target price from W250,000 to W280,000, applying a target P/E of approximately 20x to 2027E EPS. Amid heightened volatility in the Korean equity market, KT&G's stable tobacco demand, cash generation, and active shareholder return policy are enhancing its investment appeal. Recent share price strength among global tobacco companies also supports a sector-wide valuation re-rating.

Over the medium to long term, overseas cigarettes should drive company-wide earnings growth through volume gains and cost savings from expanded local production. The domestic next-generation product (NGP) business is also broadening the earnings base, with market share rising to 49.1%. The new shareholder return policy, expected in early November, will likely combine higher dividends with share buybacks and cancellations. However, 4Q earnings could temporarily fall due to a lower exchange rate and a high base from last year's real estate earnings. Nevertheless, we believe the valuation discount to global tobacco peers could narrow if overseas tobacco profitability improves alongside higher dividends in 2027.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,927	5.5	13.2	1,923	0.2
OP	508	9.1	22.5	501	1.4
Pre-tax net profit	517	-5.0	5.7	492	5.0
Net profit, CI	346	-17.4	-5.0	378	-8.4
OPM (%)	26.3	+0.8 %pt	+1.9 %pt	26.0	+0.3 %pt
NPM (%)	18.0	-4.9 %pt	-3.4 %pt	19.6	-1.6 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	5,909	6,580	6,883	6,966
OP	1,189	1,344	1,534	1,649
Net profit, CI	1,166	1,090	1,234	1,442
P/E (x)	10.9	13.9	16.9	14.0
P/B (x)	1.1	1.4	2.0	1.9
EV/EBITDA (x)	8.7	9.6	11.3	10.3
ROE (%)	12.7	11.8	12.9	14.1

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

KT&G: earnings trend and forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales		**1,491.1**	**1,547.9**	**1,826.9**	**1,713.8**	**1,703.6**	**1,701.6**	**1,926.7**	**1,551.2**	**6,579.7**	**6,883.0**	**6,966.1**
Tobacco		**988.0**	**1,090.4**	**1,232.3**	**1,056.4**	**1,156.0**	**1,218.5**	**1,302.6**	**1,089.6**	**4,367.1**	**4,766.6**	**4,934.8**
	NGP	**159.0**	**196.1**	**279.1**	**255.9**	**241.0**	**242.7**	**290.2**	**274.8**	**890.1**	**1,048.7**	**1,078.8**
	Domestic	138.5	140.1	168.3	140.4	140.4	166.6	171.7	136.2	587.3	614.9	632.7
	Overseas	20.5	56.0	110.8	115.5	100.6	76.1	118.6	138.6	302.8	433.9	446.1
	Cigarette	**822.7**	**877.3**	**970.8**	**798.9**	**912.5**	**970.5**	**1,011.4**	**812.6**	**3,469.7**	**3,707.0**	**3,847.2**
	Domestic	373.6	408.3	446.6	363.6	352.9	412.8	424.3	338.1	1,592.1	1,528.1	1,475.5
	Overseas	449.1	469.1	524.2	435.3	559.6	557.7	587.1	474.5	1,877.7	2,178.9	2,371.7
	Semi-finished	6.3	17.0	-17.6	1.6	2.5	5.3	1.0	2.2	7.3	10.9	8.8
Health functional food		**314.4**	**220.6**	**359.8**	**242.2**	**332.6**	**223.8**	**381.9**	**261.2**	**1,137.0**	**1,199.5**	**1,260.6**
Domestic		244.7	161.6	304.7	173.9	265.3	174.2	323.0	186.1	884.9	948.6	994.6
Overseas		69.7	59.0	55.1	68.3	67.3	49.6	59.0	75.1	252.1	251.0	266.0
Real estate		**100.4**	**143.8**	**146.1**	**322.4**	**116.9**	**158.3**	**149.0**	**100.0**	**712.7**	**524.2**	**357.9**
Others		**88.3**	**93.1**	**88.7**	**92.8**	**98.1**	**101.0**	**93.1**	**100.4**	**362.9**	**392.7**	**412.8**
% YoY		***15.4%***	***8.7%***	***11.6%***	***10.1%***	***14.3%***	***9.9%***	***5.5%***	***-9.5%***	***11.4%***	***4.6%***	***1.2%***
Tobacco		***15.3%***	***10.2%***	***17.6%***	***4.5%***	***17.0%***	***11.7%***	***5.7%***	***3.1%***	***11.8%***	***9.1%***	***3.5%***
	NGP	***-9.8%***	***-0.8%***	***44.5%***	***18.1%***	***51.6%***	***23.8%***	***4.0%***	***7.4%***	***13.5%***	***17.8%***	***2.9%***
	Domestic	*6.5%*	*2.0%*	*7.5%*	*4.0%*	1.4%	18.9%	2.0%	-3.0%	5.1%	4.7%	2.9%
	Overseas	*-55.6%*	*-7.3%*	*202.7%*	*41.4%*	390.7%	35.9%	7.0%	20.0%	34.6%	43.3%	2.8%
	Cigarette	***21.9%***	***11.3%***	***14.1%***	***1.6%***	***10.9%***	***10.6%***	***4.2%***	***1.7%***	***11.9%***	***6.8%***	***3.8%***
	Domestic	*-2.4%*	*-4.8%*	*3.6%*	*-10.6%*	-5.5%	1.1%	-5.0%	-7.0%	-3.5%	-4.0%	-3.4%
	Overseas	*53.9%*	*30.6%*	*24.9%*	*14.6%*	24.6%	18.9%	12.0%	9.0%	29.5%	16.0%	8.9%
	Semi-finished	*13.5%*	*307.7%*	*-534.6%*	*-80.7%*	-60.4%	-69.1%	0.0%	35.0%	-66.9%	49.4%	-19.5%
Health functional food		***1.9%***	***-16.8%***	***-11.3%***	***-24.9%***	***5.8%***	***1.5%***	***6.2%***	***7.8%***	***-12.7%***	***5.5%***	***5.1%***
Domestic		*0.7%*	*-6.5%*	*-5.0%*	*-7.8%*	8.4%	7.8%	6.0%	7.0%	-4.3%	7.2%	4.9%
Overseas		*6.6%*	*-36.1%*	*-35.3%*	*-48.9%*	-3.4%	-15.9%	7.0%	10.0%	-33.1%	-0.4%	6.0%
Real estate		***122.1%***	***78.6%***	***48.3%***	***135.2%***	***16.4%***	***10.1%***	***2.0%***	***-69.0%***	***97.3%***	***-26.4%***	***-31.7%***
Others		***7.6%***	***5.4%***	***5.3%***	***8.3%***	***11.1%***	***8.5%***	***5.0%***	***8.2%***	***6.6%***	***8.2%***	***5.1%***
OP		**285.6**	**349.9**	**465.3**	**242.9**	**364.5**	**414.5**	**507.6**	**247.3**	**1,343.7**	**1,533.9**	**1,649.1**
Tobacco		252.9	321.9	371.8	204.7	321.6	382.5	416.4	245.6	1,151.3	1,366.2	1,388.7
Health functional food		18.2	6.2	71.5	7.0	27.9	10.0	73.6	7.4	102.9	118.9	120.8
Real estate		10.4	17.7	20.7	32.9	14.0	20.5	27.1	16.5	81.7	78.1	76.7
Others		4.1	4.1	1.4	-1.4	1.0	1.6	-9.5	-22.1	8.2	-29.1	-28.1
% YoY		***20.7%***	***8.7%***	***11.4%***	***14.3%***	***27.7%***	***18.5%***	***9.1%***	***1.8%***	***13.0%***	***14.2%***	***7.5%***
Tobacco		*22.4%*	*1.7%*	*11.0%*	*-9.5%*	27.2%	18.8%	12.0%	20.0%	6.2%	18.7%	1.6%
Health functional food		*-20.9%*	*TTB*	*3.9%*	*-6.7%*	53.3%	61.3%	3.0%	5.0%	4.7%	15.5%	1.6%
Real estate		*300.0%*	*510.3%*	*63.0%*	*TTB*	34.6%	15.8%	31.0%	-50.0%	TTB	-4.4%	-1.8%
Others		*-6.8%*	*10.8%*	*7.7%*	*TTR*	-75.6%	-61.0%	-781.3%	TTB	-28.1%	-454.4%	-3.4%
OPM (%)		**19.2%**	**22.6%**	**25.5%**	**14.2%**	**21.4%**	**24.4%**	**26.3%**	**15.9%**	**20.4%**	**22.3%**	**23.7%**
Tobacco		25.6%	29.5%	30.2%	19.4%	27.8%	31.4%	32.0%	22.5%	26.4%	28.7%	28.1%
Health functional food		5.8%	2.8%	19.9%	2.9%	8.4%	4.5%	19.3%	2.8%	9.1%	9.9%	9.6%
Real estate		10.4%	12.3%	14.2%	10.2%	12.0%	13.0%	18.2%	16.5%	11.5%	14.9%	21.4%
Others		4.6%	4.4%	1.6%	-1.5%	1.0%	1.6%	-10.2%	-22.0%	2.3%	-7.4%	-6.8%

Note: TTB = turn to black, TTR = turn to red, Source: Yuanta Securities

Peer valuation					(Wbn, $bn, GBPbn, JPYbn)
		KT&G	PMI	BAT	JTI
Market cap		**20,129**	317	95,701	14,998
Sales	2025	**6,580**	41	25,610	3,855
	2026E	**6,883**	44	26,167	4,014
	2027E	**6,966**	46	27,133	4,212
	2028E	**7,211**	49	28,118	4,444
OP	2025	**1,344**	15	9,568	1,014
	2026E	**1,534**	18	11,759	1,110
	2027E	**1,649**	19	12,364	1,216
	2028E	**1,704**	21	12,921	1,373
OPM	2025	**20.4%**	36.6%	37.4%	26.3%
	2026E	**22.3%**	41.3%	44.9%	27.7%
	2027E	**23.7%**	42.2%	45.6%	28.9%
	2028E	**23.6%**	42.9%	46.0%	30.9%
Net profit	2025	**1,090**	11	7,764	650
	2026E	**1,234**	13	7,785	723
	2027E	**1,442**	14	8,316	802
	2028E	**1,474**	16	8,775	925
P/E (x)	2025	**15.8**	19.3	11.7	20.3
	2026E	**16.9**	24.4	12.3	20.7
	2027E	**14.0**	22.2	11.5	18.7
	2028E	**13.7**	20.4	10.9	16.2

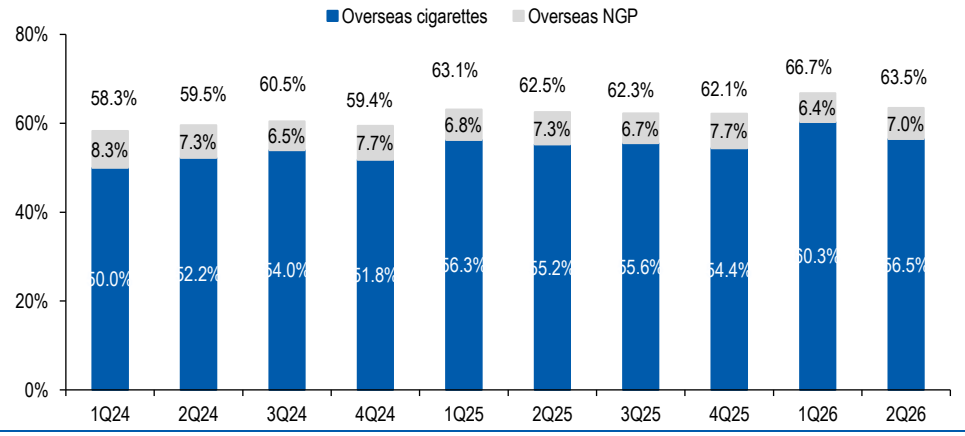
Note: close price as of October 20, 2026; Source: Yuanta Securities

KT&G: valuation

	Value	Note
2027E EPS (won)	13,890	(a)
Target P/E (x)	20	(b), global peers' 2027E P/E average
Value per share (won)	277,800	(c)=(a)*(b)
Target price (won)	280,000	-
Current price (won)	194,000	Close price on Oct 20, 2026
Upside (%)	44.3	-

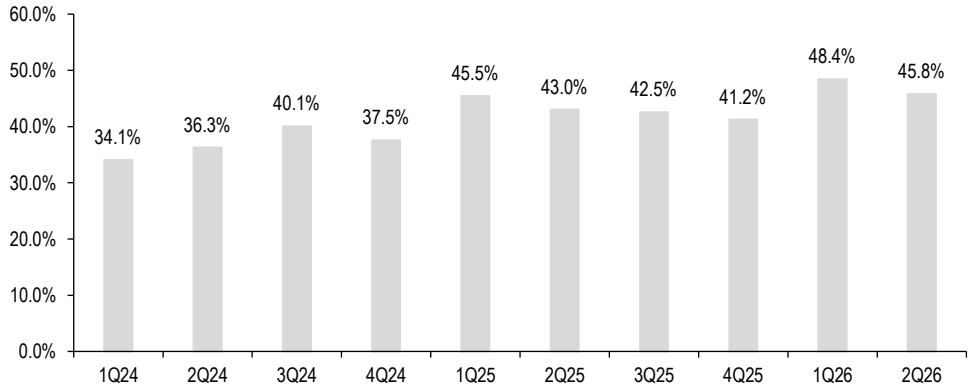
Source: Yuanta Securities

KT&G: global share of tobacco business



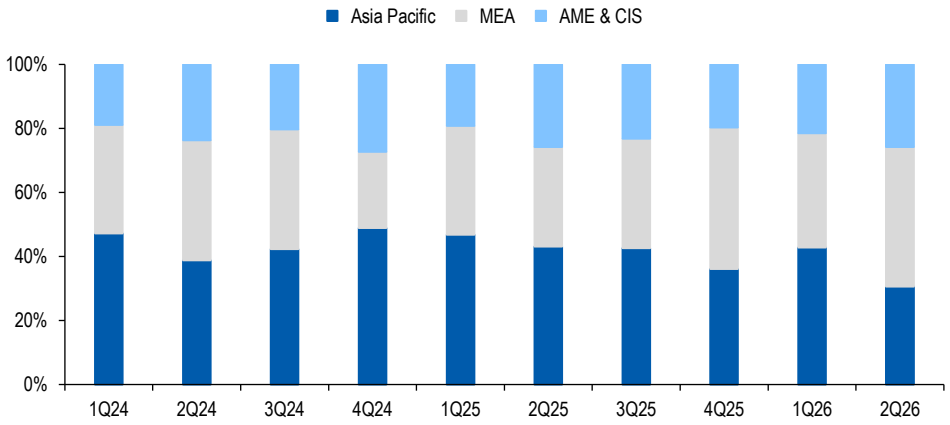
Note: based on overseas cigarette and NGP sales volume; source: company data, Yuanta Securities

Overseas cigarettes as a share of tobacco sales



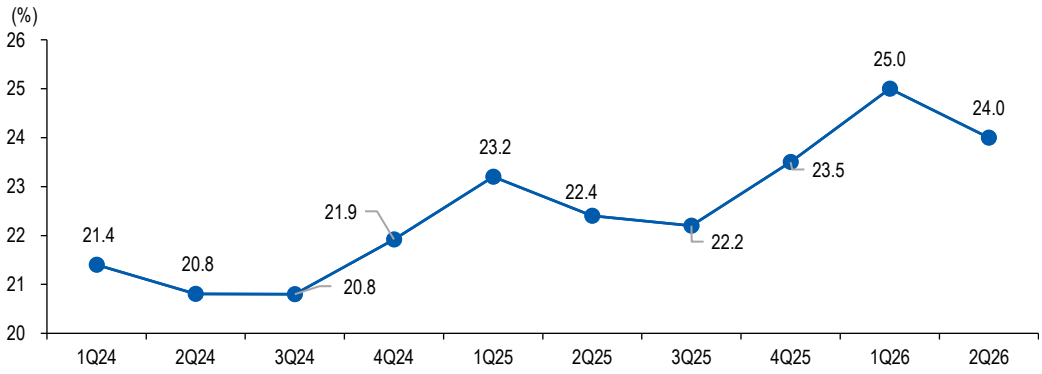
Source: company data, Yuanta Securities

Quarterly overseas cigarette volume mix by region



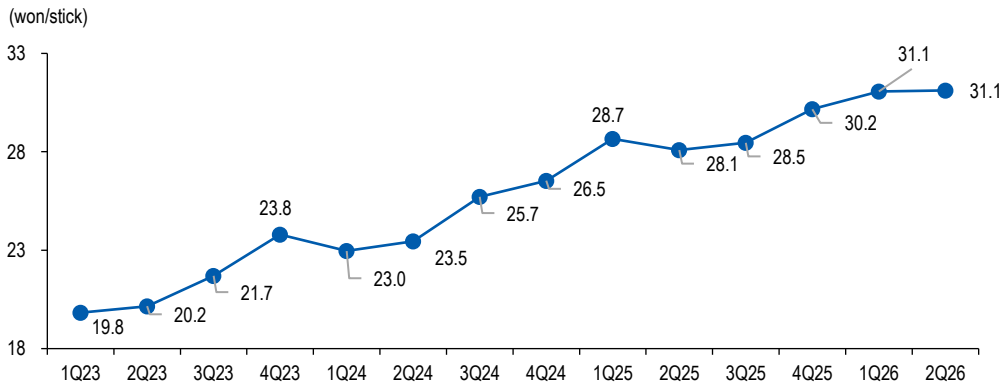
Source: company data, Yuanta Securities

Domestic NGP penetration



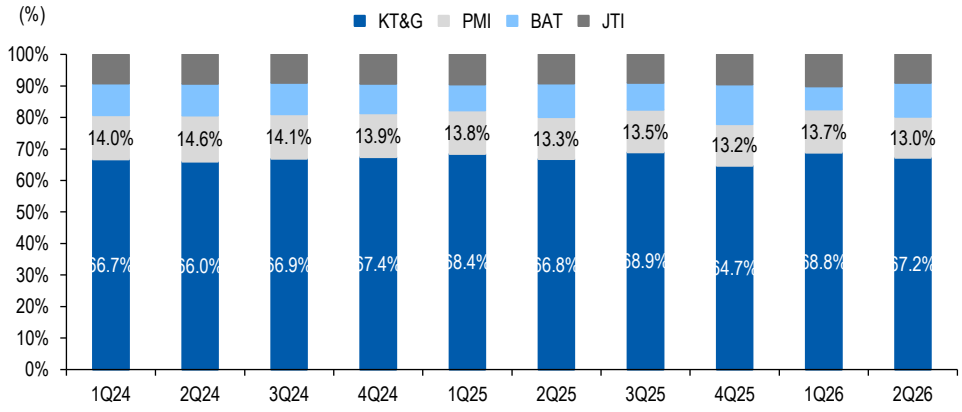
Source: company data, Yuanta Securities

Overseas cigarette ASP



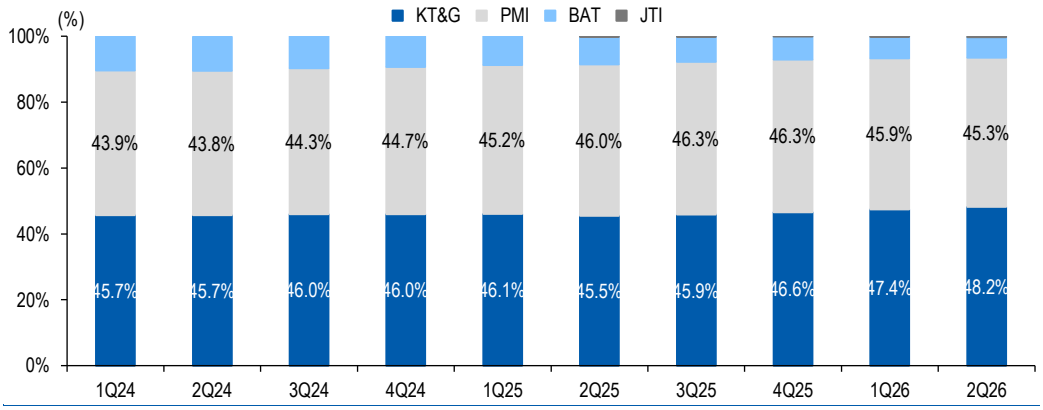
Source: company data, Yuanta Securities

Domestic cigarette market share



Source: Korea Tobacco Association, company data, Yuanta Securities

Domestic NGP market share



Source: Korea Tobacco Association, company data, Yuanta Securities

KT&G (033780 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**5,909**	**6,580**	**6,883**	**6,966**	**7,211**
Cost of sales	3,007	3,435	3,566	3,461	3,549
Gross profit	2,902	3,144	3,317	3,505	3,662
SG&A	1,713	1,801	1,783	1,856	1,958
Operating profit	**1,189**	**1,344**	**1,534**	**1,649**	**1,704**
EBITDA	1,439	1,636	1,826	1,953	1,983
Non-operating profit	377	112	131	220	206
Forex gains	364	-41	5	5	1
Net interest income	73	36	15	34	63
Equity-method gains	19	39	55	60	65
Other	-79	78	56	121	77
Net prof before income tax	1,566	1,455	1,665	1,869	1,910
Income tax	394	352	417	411	420
Net profit from continuing ops	1,172	1,103	1,248	1,458	1,490
Net profit from discontinued ops	-7	-1	0	0	0
Net profit	1,165	1,102	1,248	1,458	1,490
NP for controlling interest	**1,166**	**1,090**	**1,234**	**1,442**	**1,474**
Total comprehensive income	1,195	1,212	1,280	1,490	1,522
Total comprehensive income, CI	1,197	1,200	1,268	1,476	1,508

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**7,176**	**7,026**	**7,431**	**7,884**	**8,562**
Cash & cash equivalents	1,136	914	1,084	1,462	1,916
Accounts receivables & other	1,895	2,159	2,212	2,238	2,317
Inventory	3,101	3,285	3,436	3,478	3,600
Non-current assets	6,749	7,163	7,492	7,771	7,890
Tangible assets	2,664	2,823	3,058	3,326	3,367
Investment in affiliates	482	814	851	862	892
Other investment assets	2,370	2,337	2,421	2,443	2,511
Total assets	**13,925**	**14,189**	**14,923**	**15,655**	**16,452**
Current liabilities	3,143	3,237	3,350	3,381	3,473
Accounts payable & other	2,336	2,152	2,251	2,278	2,358
ST financial liabilities	288	333	333	333	333
Liquid LT liabilities	157	424	424	424	424
Non-current liabilities	1,424	1,616	1,641	1,648	1,669
LT financial liabilities	214	106	106	106	106
Debentures	808	924	924	924	924
Total liabilities	**4,567**	**4,853**	**4,991**	**5,029**	**5,141**
Equity, controlling interest	9,239	9,280	9,861	10,539	11,207
Paid-in capital	955	955	955	955	955
Capital surplus	535	538	538	538	538
Retained earnings	8,783	8,552	9,101	9,747	10,383
Equity, non-controlling interest	119	57	70	87	103
Total equity	**9,358**	**9,336**	**9,932**	**10,626**	**11,310**
Net debt	**-352**	**552**	**364**	**-17**	**-483**
Total debt	1,562	1,858	1,859	1,859	1,859

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**822**	**583**	**1,147**	**1,525**	**1,440**
Net profit	1,165	1,102	1,248	1,458	1,490
Depreciation & amortization	219	260	265	281	260
Forex gains	-327	47	-5	-5	-1
Affiliate investment gains	-19	-39	-55	-60	-65
Increase in net working cap	-365	-804	-486	-335	-446
Other	150	16	180	186	202
Investing cash flow	**-530**	**101**	**-363**	**104**	**-89**
Investment	11	246	-121	-33	-98
Increase in tangible assets	-768	-640	-500	-250	-300
Decrease in tangible assets	21	264	0	100	0
Other	205	230	258	288	309
Financing cash flow	**-293**	**-948**	**-1,894**	**-2,007**	**-2,048**
ST financial liabilities	259	21	0	0	0
Debenture/LT financial liabilities	680	275	0	0	0
Equity	1	3	0	0	0
Cash dividend	-587	-604	-684	-796	-838
Other cash flow	-647	-643	-1,210	-1,210	-1,210
Consolidation adj and other	105	41	1,281	754	1,151
Increase in cash & equivalents	**104**	**-222**	**171**	**377**	**455**
Beginning cash & equivalents	1,032	1,136	914	1,084	1,462
Ending cash & equivalents	1,136	914	1,084	1,462	1,916
NOPLAT	1,189	1,344	**1,534**	**1,649**	**1,704**
FCF	**55**	**-57**	**647**	**1,275**	**1,140**

Valuation

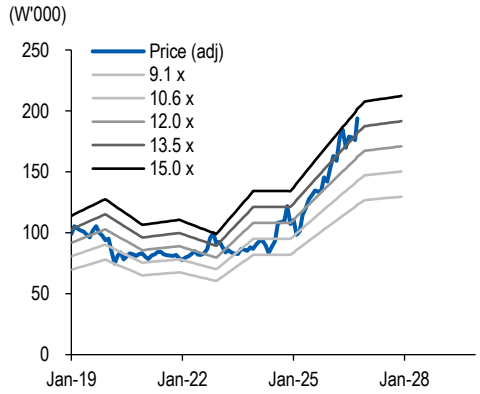
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	8,975	8,973	11,476	13,890	14,195
BPS (won)	85,662	89,409	95,337	101,890	108,348
EBITDA/shr (won)	11,079	13,470	16,984	18,816	19,102
SPS (won)	45,491	54,164	64,014	67,104	69,465
DPS (won)	5,400	6,000	7,500	7,900	8,400
P/E (x)	**10.9**	**13.9**	**16.9**	**14.0**	**13.7**
P/B (x)	**1.1**	**1.4**	**2.0**	**1.9**	**1.8**
EV/EBITDA (x)	**8.7**	**9.6**	**11.3**	**10.3**	**10.0**
P/S (x)	**2.2**	**2.3**	**3.0**	**2.9**	**2.8**

Key financial data

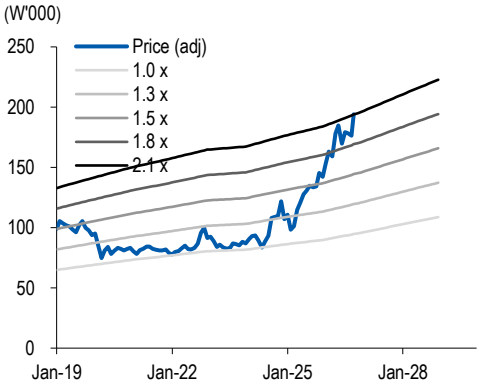
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.8**	**11.4**	**4.6**	**1.2**	**3.5**
Operating profit (%YoY)	**1.8**	**13.0**	**14.2**	**7.5**	**3.3**
Net profit, CI (%YoY)	**29.1**	**-6.5**	**13.2**	**16.9**	**2.2**
Gross margin (%)	49.1	47.8	48.2	50.3	50.8
Operating margin (%)	**20.1**	**20.4**	**22.3**	**23.7**	**23.6**
Net margin, CI (%)	19.7	16.6	17.9	20.7	20.4
EBITDA margin (%)	24.4	24.9	26.5	28.0	27.5
ROIC (%)	18.1	17.4	18.1	19.2	19.3
ROA (%)	8.7	7.8	8.5	9.4	9.2
ROE (%)	**12.7**	**11.8**	**12.9**	**14.1**	**13.6**
Debt-to-equity (%)	48.8	52.0	50.3	47.3	45.5
Net debt-to-equity (%)	-3.8	5.9	3.7	-0.2	-4.3
OP/financing cost (x)	28.2	18.1	19.0	20.4	21.1

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

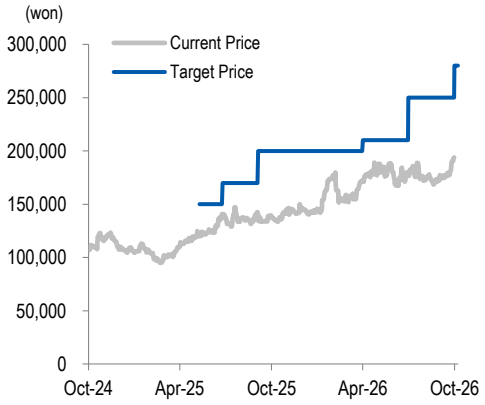
P/E band chart



P/B band chart



KT&G (033780 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/21	BUY	280,000	1 yr		
2026/07/21	BUY	250,000	1 yr	-29.02	-22.40
2026/04/21	BUY	210,000	1 yr	-15.03	-10.00
2025/09/24	BUY	200,000	1 yr	-25.42	-10.15
2025/07/15	BUY	170,000	1 yr	-19.84	-13.41
2025/05/30	BUY	150,000	1 yr	-15.19	-6.20

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 21, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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